enterprises. Both the Centre and state government enterprises still have a massive presence in generation, with a collective share of more than 80 per cent of the power generated. While the private sector is growing in transmission, owing to the sector opening up late, over 90 per cent of the transmission lines have been built and are run by the public sector.

Power Sector is in a Mess

On an annual turnover of about Rs 6 lakh crore, the power sector loses about Rs 2 lakh crore every year. State governments subsidize power-sector entities heavily, spending over Rs 1 lakh crore every year in cash subsidies. All the cash is collected at the distribution end. Insufficient cash collections by the DISCOMs result in non-payment, delayed payment or partial payment across the chain. Generators suffer as do fuel and other suppliers to generators. Most generators have assured legal returns of about 15 per cent on equity, but insufficient payments by DISCOMs stresses them as well. Both DISCOMs and generating companies have been defaulting on bank loans as well. Every now and then, the government comes up with a package, the last one dubbed Ujjwal DISCOM Assurance Yojana (UDAY), to restructure the finances of the power sector. The state governments pick up the bill of restructuring, taking a considerable part of the accumulated liabilities on their books. Banks and other suppliers also take a hit.

There have been at least three major bailouts in the past twenty years that may have temporarily improved finances. However, the underlying rot, the gap of about one-third in the cost and realization of power produced and distributed, remains unresolved. DISCOMs have not paid over Rs 1.5 lakh crore of generators' bills. Two power-sector capital investment financing CPSEs, Power Finance Corp (PFC) and Rural Electrification Corporation (REC), have been recently asked to provide loans of Rs 1 lakh crore to DISCOMs to pay the outstanding bills of generators.